OFFERING MEMORANDUM

Foxglove Lofts | St. Louis, MO

Property	Foxglove Lofts
Location	8328 Station Boulevard, St. Louis, MO 79541
Property Type	Multifamily
Size	408 apartment homes
Year Built	1977
Offering	Unpriced - Offers Due August 18, 2021

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Resident turnover has averaged 6.4% annually with renewal retention above 93.5%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Resident turnover has averaged 2.4% annually with renewal retention above 88.7%. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Demographics and Employment

The St. Louis Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 7.1% annually over the past 11 years. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 12.2% population growth over the last five years. Resident turnover has averaged 9.3% annually with renewal retention above 89.8%. Market vacancy for comparable Multifamily product stands at 11.5%, down from 6.2% two years ago.

Investment Overview

Resident turnover has averaged 11.7% annually with renewal retention above 94.7%. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 3.9% with an equity multiple of 1.45x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. Resident turnover has averaged 3.6% annually with renewal retention above 94.3%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Demographics and Employment

Resident turnover has averaged 13.8% annually with renewal retention above 89.4%. The St. Louis Multifamily market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 7.3%, down from 4.0% two years ago. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Investor demand for Multifamily assets in St. Louis remains strong with recent trades at capitalization rates between 7.56% and 7.56%.

Market vacancy for comparable Multifamily product stands at 13.3%, down from 7.2% two years ago. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The St. Louis Multifamily market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Resident turnover has averaged 10.0% annually with renewal retention above 90.0%. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 13.1% population growth over the last five years.

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Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Resident turnover has averaged 11.9% annually with renewal retention above 88.9%.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.0% with an equity multiple of 1.7x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Submarket Analysis

Rent growth in the submarket has averaged 5.4% annually over the past 12 years. Resident turnover has averaged 7.8% annually with renewal retention above 95.1%. Investor demand for Multifamily assets in St. Louis remains strong with recent trades at capitalization rates between 7.14% and 7.14%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor demand for Multifamily assets in St. Louis remains strong with recent trades at capitalization rates between 5.18% and 5.18%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 3.4%, down from 7.4% two years ago. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 12.6% with an equity multiple of 1.12x over the hold period. Resident turnover has averaged 11.7% annually with renewal retention above 92.5%.

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital.

Submarket Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 3.7% annually over the past 4 years. Resident turnover has averaged 12.4% annually with renewal retention above 95.6%. Market vacancy for comparable Multifamily product stands at 5.5%, down from 6.7% two years ago.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 7-mile radius of the property is approximately $179,000 and has grown 2.7% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 9.4% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 13.6%, down from 5.0% two years ago.

Risk Considerations

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 9.7% annually with renewal retention above 92.9%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 13.5% with an equity multiple of 1.48x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Demographics and Employment

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Highland Flats	Naperville, IL	06/03/2026	486	$54,927,026	$134,625	6.00%	1980
Ironwood Residences	Minneapolis, MN	05/07/2026	423	$29,252,775	$71,698	7.67%	2005
Thornton Terrace	New Orleans, LA	04/23/2025	227	$53,653,541	$131,504	8.02%	1993
Lantern Flats	Columbus, OH	12/08/2024	413	$60,166,132	$147,466	5.85%	1982
Harbor Lofts	Louisville, KY	10/22/2025	320	$47,053,943	$115,328	6.77%	1978
Valley Flats	Boston, MA	07/20/2025	472	$36,322,603	$89,026	6.86%	1998
Bayview Villas	Oklahoma City, OK	07/01/2025	520	$59,209,566	$145,121	5.72%	2006
Meridian Apartments	Indianapolis, IN	12/19/2022	334	$70,752,400	$173,413	7.89%	2022
Cypress Commons	Newark, NJ	11/13/2022	580	$38,037,053	$93,228	8.03%	1983
Whitaker Residences	Birmingham, AL	09/01/2022	440	$49,173,983	$120,524	7.13%	1993
Zephyr Villas	Atlanta, GA	03/22/2023	531	$37,138,811	$91,026	5.88%	1971
Hawthorne Apartments	Milwaukee, WI	06/24/2026	417	$53,510,763	$131,154	6.24%	2010
Jasper Apartments	San Antonio, TX	08/02/2024	375	$49,881,795	$122,259	7.89%	1994
Driftwood Residences	Albuquerque, NM	05/22/2024	434	$31,343,529	$76,822	6.12%	2023
Dover Residences	Orlando, FL	09/20/2022	553	$60,708,229	$148,795	7.03%	1991
Vista Apartments	Richmond, VA	10/08/2023	475	$27,265,177	$66,826	7.74%	2010
Ivy Flats	Salt Lake City, UT	11/14/2023	470	$28,292,293	$69,344	6.33%	1992
Orchard Villas	Baltimore, MD	12/01/2024	558	$68,910,773	$168,899	6.86%	2014
Wexford Villas	Hartford, CT	06/03/2023	242	$35,023,701	$85,842	7.74%	1994
Lakeshore Villas	Portland, OR	04/04/2022	249	$22,480,567	$55,099	5.16%	1968
Sable Residences	Allentown, PA	02/28/2024	352	$48,422,509	$118,683	5.34%	2007
Meridian Lofts	Tampa, FL	04/10/2024	345	$27,996,243	$68,618	7.37%	2012
Ivy Terrace	New Orleans, LA	07/24/2025	454	$48,996,755	$120,090	6.19%	1986
Cypress Commons	Madison, WI	11/28/2023	605	$66,627,665	$163,303	7.45%	2022
Calloway Villas	Naperville, IL	12/20/2022	378	$26,307,299	$64,479	7.95%	2002
Bayview Commons	Boise, ID	02/22/2024	250	$39,452,368	$96,697	6.50%	1976
Calloway Flats	Phoenix, AZ	03/23/2025	429	$48,722,808	$119,419	7.48%	1979
Ironwood Residences	San Antonio, TX	06/19/2024	225	$57,383,100	$140,645	8.10%	1966
Keystone Apartments	Salt Lake City, UT	10/03/2025	281	$28,128,402	$68,942	7.41%	2008
Maple Lofts	Albuquerque, NM	04/13/2026	220	$45,687,463	$111,979	5.84%	1994
Quincy Apartments	Greenville, SC	10/14/2025	205	$50,642,878	$124,125	6.98%	1974
Highland Lofts	Columbus, OH	04/28/2023	522	$57,440,377	$140,785	6.43%	2018
Orchard Terrace	Omaha, NE	03/14/2023	242	$69,665,934	$170,750	6.47%	1977
Heritage Villas	Baltimore, MD	10/23/2022	462	$24,770,178	$60,711	7.89%	2019
Union Residences	San Antonio, TX	08/05/2022	568	$69,503,538	$170,352	7.03%	2022
Ridgeline Flats	Milwaukee, WI	10/11/2022	247	$67,883,002	$166,380	5.77%	1996
Lockwood Commons	San Diego, CA	12/26/2025	509	$25,890,699	$63,458	5.18%	1966
Timberline Apartments	Aurora, CO	09/06/2024	394	$55,490,357	$136,006	7.99%	1985
Thornton Villas	Denver, CO	08/04/2025	346	$72,867,881	$178,598	7.58%	1973
Ironwood Commons	Boise, ID	07/20/2022	341	$66,521,815	$163,044	7.25%	1967
Northgate Lofts	Louisville, KY	04/03/2023	284	$38,670,380	$94,780	5.85%	1986
Hollis Commons	St. Louis, MO	02/10/2024	345	$50,675,652	$124,205	6.64%	2011
Elmhurst Lofts	Louisville, KY	03/16/2024	359	$35,515,064	$87,047	6.45%	1972

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Building Systems

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The roof is a 11-year membrane system with an estimated remaining useful life of 4 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Foxglove Lofts was originally constructed in 1977 and consists of 408 apartment homes in a building of 16 stories. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 25-year membrane system with an estimated remaining useful life of 8 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $9,000, representing a 8.5% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x.

Building Systems

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The roof is a 10-year membrane system with an estimated remaining useful life of 5 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Foxglove Lofts was originally constructed in 1977 and consists of 408 apartment homes in a building of 2 stories.

The roof is a 23-year membrane system with an estimated remaining useful life of 5 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Operating Performance

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.16% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $450,000 or approximately 13.45 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $346,000, representing a 10.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Common area interiors have been refreshed within the last 6 years and are in average to good condition. The roof is a 18-year membrane system with an estimated remaining useful life of 5 years.

Mechanical systems include rooftop package units and central plant equipment of varying age. Resident turnover has averaged 8.9% annually with renewal retention above 90.0%. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Financial Analysis

Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. Resident turnover has averaged 5.9% annually with renewal retention above 93.0%. Debt service coverage ratio was 5.48x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $48,000, representing a 7.5% increase over the prior year. The going-in capitalization rate of 6.19% reflects the in-place income and the stabilized occupancy assumption.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Juniper Villas	0.8 mi	1993	Studio	$2,334.43	86.2%	None
Maple Flats	4.1 mi	2007	2BR	$2,456.36	88.5%	1 mo. free
Gatewood Terrace	3.3 mi	2008	1BR	$1,988.94	92.1%	1 mo. free
Tidewater Villas	4.1 mi	2023	Suite	$2,213.83	94.9%	$500
Newport Villas	2.2 mi	1988	1BR	$1,881.72	90.5%	$500
Fairmont Commons	4.4 mi	2023	2BR	$2,292.84	86.2%	None
Banyan Commons	1.9 mi	1983	Suite	$2,242.50	91.5%	$500
Pelican Apartments	2.1 mi	1971	Inline	$1,787.24	95.1%	1 mo. free
Quincy Flats	2.1 mi	2019	2BR	$2,388.58	88.3%	None
Magnolia Residences	4.4 mi	2021	Studio	$2,148.15	97.2%	1 mo. free
Union Apartments	4.2 mi	1990	1BR	$1,958.02	90.1%	1 mo. free
Orchard Apartments	4.7 mi	2007	Bay	$2,158.43	93.7%	$500
Marlow Villas	4.7 mi	1970	Unit	$2,100.61	87.3%	1 mo. free
Parkview Apartments	4.5 mi	1972	Inline	$1,843.48	91.0%	$500
Fairmont Villas	3.4 mi	1992	Unit	$2,027.71	97.1%	$500
Fairmont Terrace	4.6 mi	1995	Inline	$1,863.10	94.8%	None
Maple Villas	1.8 mi	1981	1BR	$1,803.56	89.3%	$500
Garnet Residences	2.0 mi	1984	1BR	$2,408.48	89.9%	1 mo. free
Stonebridge Flats	4.2 mi	1995	Inline	$2,449.89	92.3%	$500
Ironwood Terrace	3.7 mi	2017	Unit	$2,262.83	93.3%	None
Saddlebrook Villas	4.8 mi	2011	Unit	$1,757.54	91.8%	None
Bayview Flats	0.2 mi	1986	2BR	$1,825.56	93.0%	1 mo. free
Fairmont Lofts	1.3 mi	1976	2BR	$2,211.48	92.7%	$500
Magnolia Flats	1.4 mi	1998	Inline	$1,771.35	94.9%	$500
Heritage Terrace	4.9 mi	2017	Unit	$1,846.94	90.9%	1 mo. free
Magnolia Commons	4.0 mi	2023	Suite	$2,155.07	91.0%	1 mo. free
Highland Apartments	1.8 mi	1973	Inline	$2,120.26	86.7%	$500
Hawthorne Villas	2.6 mi	1993	Bay	$2,148.71	89.7%	$500
Thornton Apartments	4.1 mi	2005	Studio	$1,833.64	94.3%	None
Everett Flats	1.9 mi	1998	Studio	$2,057.79	92.3%	None
Bluestone Commons	1.8 mi	2019	Suite	$2,453.93	92.7%	None
Dunmore Apartments	4.6 mi	1981	Bay	$2,099.69	97.6%	None
Foxglove Commons	4.6 mi	1973	Bay	$2,388.01	86.6%	$500
Timberline Commons	5.0 mi	1984	Unit	$2,468.91	89.2%	1 mo. free
Quarry Residences	3.5 mi	2005	1BR	$2,282.59	89.9%	$500
Nautilus Lofts	0.9 mi	2002	1BR	$2,074.59	93.0%	None
Orchard Flats	0.3 mi	2000	2BR	$2,032.71	91.2%	None
Hollis Apartments	1.0 mi	2002	Bay	$1,771.02	95.7%	None
Northgate Residences	3.2 mi	1976	Bay	$1,887.47	86.5%	None
Willow Terrace	0.9 mi	2015	Suite	$2,179.87	94.3%	$500
Kestrel Lofts	0.8 mi	2021	Inline	$2,451.67	91.2%	1 mo. free

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Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 3.0% annually with renewal retention above 93.6%.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Submarket Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 4.2% annually over the past 9 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 4-mile radius of the property is approximately $230,000 and has grown 12.4% annually.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 5.9% population growth over the last five years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 5-mile radius of the property is approximately $280,000 and has grown 6.2% annually. The St. Louis Multifamily market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Property Operations

Collections for the period were 90.6% of billed charges, with bad debt of 3.8% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours. Collections for the period were 94.1% of billed charges, with bad debt of 7.7% of gross potential income.

Market Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The St. Louis Multifamily market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 4-mile radius of the property is approximately $52,000 and has grown 9.3% annually. Rent growth in the submarket has averaged 6.7% annually over the past 7 years.

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 12.4%, down from 6.5% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 5.6% population growth over the last five years.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 3 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day.

Service requests are tracked through a work-order system with an average completion time of 4 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 6.2% annually with renewal retention above 95.1%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Submarket Analysis

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Risk Considerations

Resident turnover has averaged 11.5% annually with renewal retention above 88.2%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 12.9% annually with renewal retention above 92.7%. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Foxglove Lofts is located in St. Louis, MO, a market that has recorded 6.9% population growth over the last five years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 9-mile radius of the property is approximately $405,000 and has grown 11.6% annually. Rent growth in the submarket has averaged 5.9% annually over the past 7 years.

Median household income within a 2-mile radius of the property is approximately $146,000 and has grown 3.4% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.0% annually over the past 9 years. Investor demand for Multifamily assets in St. Louis remains strong with recent trades at capitalization rates between 5.26% and 5.26%. Market vacancy for comparable Multifamily product stands at 6.7%, down from 5.0% two years ago. The St. Louis Multifamily market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Investment Overview

Resident turnover has averaged 10.4% annually with renewal retention above 94.8%. Projected levered IRR is 11.1% with an equity multiple of 1.41x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital.

Demographics and Employment

Foxglove Lofts is located in St. Louis, MO, a market that has recorded 5.0% population growth over the last five years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.5% annually over the past 7 years.

Foxglove Lofts is located in St. Louis, MO, a market that has recorded 5.1% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 1-mile radius of the property is approximately $57,000 and has grown 12.9% annually.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 10.4% with an equity multiple of 1.15x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 11.8% with an equity multiple of 1.31x over the hold period. Resident turnover has averaged 7.9% annually with renewal retention above 93.7%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Northgate Apartments	Portland, OR	02/18/2025	299	$71,127,756	$174,333	6.86%	2015
Yarrow Lofts	Des Moines, IA	09/16/2025	517	$30,813,514	$75,523	6.10%	2006
Bluestone Apartments	Oklahoma City, OK	06/03/2024	524	$62,419,640	$152,989	7.14%	1973
Lockwood Apartments	Birmingham, AL	12/14/2025	331	$45,149,514	$110,661	6.80%	1974
Birchwood Commons	Birmingham, AL	09/19/2022	261	$33,043,931	$80,990	7.47%	1984
Pelican Apartments	Las Vegas, NV	06/27/2026	302	$71,144,001	$174,373	5.00%	2013
Willow Commons	Minneapolis, MN	04/02/2025	315	$57,342,720	$140,546	6.94%	1968
Banyan Flats	Baltimore, MD	01/01/2024	514	$35,440,712	$86,864	6.33%	1975
Willow Lofts	Cincinnati, OH	06/17/2023	382	$56,865,677	$139,377	5.12%	2019
Fairmont Apartments	New Orleans, LA	02/11/2023	467	$30,292,692	$74,247	5.70%	2021
Cobalt Terrace	Philadelphia, PA	11/17/2022	357	$63,614,908	$155,919	8.04%	1966
Cypress Terrace	Riverside, CA	08/16/2026	516	$30,244,418	$74,128	8.08%	1966
Union Flats	Baltimore, MD	07/12/2025	370	$73,682,353	$180,594	5.22%	2014
Union Lofts	Des Moines, IA	08/08/2025	235	$53,751,485	$131,744	7.33%	1983
Hawthorne Residences	Naperville, IL	07/02/2025	418	$35,263,948	$86,431	6.27%	2019
Thornton Commons	Hartford, CT	12/17/2023	236	$72,834,182	$178,515	6.01%	1987
Zephyr Apartments	Naperville, IL	03/01/2026	475	$68,806,910	$168,644	7.00%	1969
Beacon Flats	Tempe, AZ	12/04/2023	222	$37,056,778	$90,825	6.50%	2004
Alder Flats	New Orleans, LA	07/19/2024	488	$75,300,324	$184,560	5.40%	2014
Glenview Flats	Detroit, MI	08/03/2022	517	$62,060,539	$152,109	7.40%	2001
Aspen Apartments	San Antonio, TX	09/21/2025	416	$26,169,034	$64,140	6.33%	2012
Everett Apartments	Tempe, AZ	05/11/2023	352	$41,948,279	$102,814	7.13%	1989
Zephyr Terrace	St. Louis, MO	07/24/2022	459	$40,267,972	$98,696	7.74%	1971
Marlow Apartments	Richmond, VA	02/01/2026	439	$41,596,396	$101,952	7.87%	2001
Verde Lofts	San Diego, CA	08/08/2024	419	$70,535,158	$172,880	5.67%	1969
Fairmont Terrace	Orlando, FL	02/26/2025	468	$49,244,605	$120,698	7.78%	2015
Ridgeline Villas	Tampa, FL	05/30/2026	271	$70,379,317	$172,498	5.84%	2021
Ivy Flats	Phoenix, AZ	07/27/2026	361	$41,500,174	$101,716	7.92%	1998
Vista Residences	Sacramento, CA	09/28/2024	213	$68,773,761	$168,563	5.56%	2014
Meridian Apartments	Kansas City, MO	05/25/2022	415	$47,051,831	$115,323	6.27%	1975
Westgate Commons	Savannah, GA	01/31/2023	497	$25,674,244	$62,927	5.10%	2009
Newport Commons	Hartford, CT	04/01/2025	511	$35,080,600	$85,982	7.36%	1974
Timberline Terrace	Albany, NY	11/05/2023	301	$38,272,352	$93,805	6.87%	1999
Quarry Flats	Chicago, IL	05/05/2025	593	$51,827,607	$127,028	6.57%	1988
Bluestone Residences	Albany, NY	06/26/2022	387	$31,513,980	$77,240	5.91%	1995
Glenview Flats	Oklahoma City, OK	09/11/2024	399	$75,493,802	$185,034	7.78%	2019
Windmill Lofts	Philadelphia, PA	03/25/2025	303	$47,738,589	$117,006	5.68%	1991
Thornton Lofts	Pittsburgh, PA	07/27/2026	315	$40,687,136	$99,723	5.69%	2009
Foxglove Apartments	Aurora, CO	07/31/2026	286	$43,483,025	$106,576	7.99%	1972
Redwood Flats	Phoenix, AZ	08/20/2025	227	$63,378,340	$155,339	7.32%	2019
Pinecrest Villas	Tempe, AZ	09/20/2025	377	$34,637,738	$84,896	6.69%	2021

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Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The roof is a 40-year membrane system with an estimated remaining useful life of 5 years. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

Income and Expense Review

The going-in capitalization rate of 6.43% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.5% annually with renewal retention above 91.1%. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 6.20% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $305,000, representing a 2.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Construction Details

The roof is a 14-year membrane system with an estimated remaining useful life of 4 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. Foxglove Lofts was originally constructed in 1977 and consists of 408 apartment homes in a building of 4 stories.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Foxglove Lofts was originally constructed in 1977 and consists of 408 apartment homes in a building of 26 stories. Resident turnover has averaged 3.4% annually with renewal retention above 90.5%. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Operating Performance

Resident turnover has averaged 2.0% annually with renewal retention above 90.9%. Effective gross income for the trailing period was $411,000, representing a 4.0% increase over the prior year. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Construction Details

The roof is a 12-year membrane system with an estimated remaining useful life of 3 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Foxglove Lofts was originally constructed in 1977 and consists of 408 apartment homes in a building of 45 stories. Resident turnover has averaged 4.6% annually with renewal retention above 88.2%.

The roof is a 47-year membrane system with an estimated remaining useful life of 3 years. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Valuation Discussion

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Bluestone Lofts	4.7 mi	2006	Bay	$2,315.18	89.6%	$500
Osprey Commons	0.2 mi	1985	Bay	$2,375.56	88.6%	1 mo. free
Banyan Villas	0.3 mi	2019	Studio	$2,435.65	94.1%	1 mo. free
Saddlebrook Lofts	1.8 mi	2020	Suite	$1,840.16	93.8%	$500
Calloway Flats	3.5 mi	1972	Unit	$2,161.69	93.8%	None
Verde Villas	4.5 mi	1988	Studio	$2,076.66	96.7%	None
Orchard Apartments	4.5 mi	1997	Bay	$2,041.98	95.0%	$500
Kingsley Villas	0.4 mi	1980	Inline	$2,057.69	90.3%	$500
Copper Terrace	0.8 mi	2009	Inline	$2,071.97	86.4%	$500
Heritage Apartments	1.9 mi	1981	Suite	$2,113.16	94.7%	None
Quincy Commons	1.3 mi	1973	Unit	$2,093.68	89.3%	None
Prairie Apartments	2.2 mi	1990	1BR	$2,313.31	97.5%	$500
Fairmont Lofts	0.4 mi	1993	Inline	$2,067.37	92.3%	$500
Canyon Residences	4.3 mi	1986	Inline	$2,416.75	87.5%	None
Hawthorne Commons	2.2 mi	2022	2BR	$2,047.89	87.1%	None
Laurel Flats	3.2 mi	1997	Studio	$2,199.19	92.1%	$500
Calloway Residences	0.4 mi	2017	Bay	$2,087.13	97.4%	1 mo. free
Pinecrest Commons	4.0 mi	1992	2BR	$1,963.60	91.2%	$500
Mesa Terrace	2.3 mi	2004	Studio	$2,315.89	88.6%	1 mo. free
Pinecrest Apartments	4.4 mi	1981	1BR	$2,327.64	95.1%	None
Everett Commons	3.7 mi	1982	Studio	$2,038.38	94.9%	None
Magnolia Apartments	4.1 mi	2023	Suite	$2,092.28	90.9%	1 mo. free
Sterling Flats	5.0 mi	1977	2BR	$1,857.65	86.8%	None
Indigo Villas	0.9 mi	1996	Bay	$1,936.73	91.8%	1 mo. free
Kestrel Apartments	2.0 mi	1970	Inline	$2,074.63	92.4%	None
Thornton Residences	2.3 mi	1979	1BR	$2,167.75	93.4%	None
Upland Lofts	0.5 mi	2023	Studio	$1,990.00	86.6%	$500
Vista Flats	3.1 mi	1989	Inline	$1,957.84	91.2%	None
Riverbend Flats	1.6 mi	1985	Suite	$1,961.40	96.5%	None
Union Villas	3.0 mi	1972	Inline	$2,281.90	92.3%	None
Meridian Flats	3.5 mi	2008	1BR	$2,157.81	86.8%	None
Ridgeline Villas	2.1 mi	2012	Inline	$2,449.33	86.4%	None
Heritage Residences	1.6 mi	1993	Studio	$1,969.30	94.0%	$500
Stonebridge Flats	3.0 mi	1975	Studio	$2,322.81	96.2%	None
Ironwood Lofts	4.7 mi	2002	Unit	$2,451.37	91.7%	None
Wexford Lofts	1.6 mi	2018	2BR	$2,256.36	89.3%	1 mo. free
Foxglove Terrace	0.3 mi	1974	Inline	$2,357.02	93.4%	1 mo. free
Valley Flats	4.1 mi	2015	2BR	$1,936.59	88.1%	None
Sable Apartments	3.3 mi	1979	Inline	$1,869.00	91.5%	$500
Pinecrest Commons	4.5 mi	1995	Studio	$2,392.66	98.0%	None
Raven Residences	4.8 mi	1974	2BR	$1,815.73	95.9%	$500
Upland Apartments	1.9 mi	2020	Suite	$2,354.33	89.0%	None
Summit Flats	3.8 mi	2009	Inline	$2,362.66	89.7%	$500

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If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Foxglove Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Foxglove Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Foxglove Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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